

2. Overdraft protection charges you a fee around \$30 each time your account goes into overdraft. These fees can kill your budget. Unless it is an emergency, it is better to have your purchase declined than pay the fees.
3. If you keep \$10,000 in your checking account, you will not be earning very much interest on it. It is better to keep it in a savings account, ideally a high-yield one.
4. The pros are that CDs generally offer a better interest rate than other savings accounts. The cons are that you do not have access to that money for a specified period of time if you want to earn the promised interest rate.

Build Your Skills: Paying for College

1. You will need to pay \$290.19 per month. You will pay \$6,822.51 in interest.
2. \$522
3. You will save \$827.76 in total interest over 10 years. Here is how we arrive at this answer:

\$6,822.51 (interest paid with original terms)
- \$5,994.75 (interest paid with additional payments)
= \$827.76

4. Answers will vary